

Ricardian equivalence



A government can fund spending by borrowing or by raising taxes. Keynesians believe that governments can pull economies out of recessions by borrowing and then spending the proceeds. Purely tax-funded spending would not be effective because the spending boost would get offset by the tax hike. The theory of Ricardian equivalence, named after the 19th-century English economist David Ricardo (opposite), contradicts this reasoning: it says that the way a government finances its spending makes no difference. In particular, individuals will not respond to a boost in public spending funded by borrowing because they anticipate that the government will have to raise taxes later to repay its loans. Recent versions of the theory have shown that, for Ricardian equivalence to hold, people must be rational and make precise calculations about their future consumption and the likely impacts of government policies – conditions that are

unlikely all to hold in practice. Nevertheless, the theory raises useful questions about the possible limits to government spending and borrowing.